Inflation Is Starting to Break the Consumer

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The episode posits that the current market environment is characterized by a confluence of structural economic headwindsâ€”specifically falling real income caused by persistent inflationâ€”and unprecedented equity supply driven by massive IPOs and corporate issuance, which threatens to dampen growth. Simultaneously, geopolitical strategy appears misaligned with US interests, where an economic war against Iran may inadvertently deepen the global supply chain dependence on China rather than neutralizing it. Consequently, financial markets require a significant expansion in liquidity management, potentially requiring the Federal Reserve to adopt QE-style tactics (through bond balance sheet management) to suppress yields and combat inflationary pressures that retail sectors are failing to absorb.

2. Key Arguments & Data

3. **Market Performance:** S&P 500 down roughly 0.8%; Mag7 all red (yields up); Small caps down; Bitcoin surged 5%+ to $72,000; DRAM sector up 4.4%.
4. **Bond Market:** Treasury buybacks have unwound completely; yields on the 10-year and 30-year notes rose 6 basis points (2-year up 3 bps) due to supply issues; Scott Bessent's attempted boost via higher buyback volumes ($4B+) failed intraday.
5. **Commodities:** Brent oil at $93.50/100 (approaching $102 higher high); Oil up 2.6%; WTI December contract at $82.45/oz; Gold up 0.74%; Silver up 3.6%; Gasoline prices exceeded $420/gal.
6. **Inflation & Income:** Walmart earnings suffered due to slowing sales driven by inflation outpacing wage growth, leading to falling real income and reduced aggregate consumer spending.
7. **Geopolitics (Iran):** US pivoting from kinetic to economic warfare against Iran is deemed strategically unsound; sanctions already extensive but cannot isolate Iran effectively without collapsing global trade; China benefits significantly via continued trade leverage and US resource expenditure.

8. **Equity Supply:** Excessive IPO volume (e.g., Anthropic exceeding SpaceX's IPO record) combined with reduced buybacks due to Mag7 cash flow issues is flooding the market with equity supply, complicating capital markets liquidity.

9. **China-Switzerland FTA:** New trade agreement established 99.8% tariff-free exports for Swiss goods (watches/precision equipment) to China, signaling a potential shift in Chinese negotiation strategy from pure mercantilism to "soft power" leverage.

10. Actionable Takeaways

11. **Asset Allocation:** Consider increasing exposure to liquidity-adjacent assets such as Bitcoin and gold/silver, given the anticipated pressure on coupon bonds and potential market volatility.
12. **Commodity Focus:** Monitor oil and agriculture prices closely, as their upward trajectory continues to pressure yields and suggest a need for Fed pushback against inflation.
13. **Fed Watch:** Keep an eye on Treasury balance sheet interventions or "QE-like" tactics to understand how bond supply is managed, specifically regarding long-duration bonds.
14. **Equity Selection:** Note mixed performance in AI/tech stocks (DRAM up, Semiconductors flat); be cautious of specific high-flying sectors like biotech after a recent pullback; monitor companies facing high capex vs. revenue growth ratios (e.g., Alibaba).
15. **Risk Management:** Prepare for volatility due to options expirations resetting the deck; understand that geopolitical narratives regarding Iran may not materially impact US economic outcomes in the short term compared to China's strategic interests.

Full Transcript

Walmart earnings sucked. They're slowing down. Stock got hit today. Real income comes in the US are falling. Why? Because there's a bunch of inflation. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

All right, welcome back to another edition of the daily dots chase flying solo again with you here on August 20th Thursday's week is flying by I will start with the rundown and then I have a few things to talk about today another another interesting day After I close this weird coding window that came up. All right S&P closed down eight point eight four kind of on the lows got ugly towards the end The cues down point seven two small caps down one point three four Even equally, it was down 0.8. No survivors there. Mag7 was down 1.14. So again, truly no survivors. One of the only things going up was Bitcoin. A bit of a short squeeze there. Bitcoin up almost another 5%. You're up to 72,000 now. So two really, really good days back to back there. All World XUS with a very solid outperform today, which was just flat. But hey, that'd be the S&P by 0.8 something. So dollar was up a little bit of 0.12.

as far as max seven went literally all red, but none of it big yields. This is the fun part and kind of exactly what I talked about yesterday. So the two years up about three basis points, but the 10 and the 30 up six, you basically unwound the entire buyback, you know, intervention move of yesterday that a lot of people got in some ways too excited about though to be clear and

the signal is there and that's still very important that, you know, they're not going to let yields just blast off to 6% or you know, probably 95% of the 10 without, without doing some pushback. I would say the most notable thing about the fact that yields did this today was in the middle of the day, Scott Besson came out and you know, the thing yesterday was like, we'll go from 2 billion to 4 billion on these buybacks today. He was like, oh, we might do more than 4 billion. So he tried to move the market, you know, with some job voting today and the market was just like, yeah, I don't care. And this goes back to my thinking of they got to do QE like They're gonna have to call something else obviously, but they're gonna have to you're gonna have to put Treasuries on a balance sheet and euthanize them or This ain't gonna work like now there they can stop issuing duration they can Twist this more they can you know do a QE twist that tries to stay a little bit balance sheet neutral like there's all kinds of stuff They can do to make it look less like QE But the bottom line is, they have to dramatically reduce the supply of coupon bonds, of long duration bonds. So be on the lookout for what's going to happen. It's going to be good for liquidity adjacent assets like crypto, like precious metals. And this economy like XUS stocks and definitely commodities. Dollar down is going to be a big theme because of it. I would suspect anyway. So keep an eye on it.

Oil up another 2.6% today, which obviously pressured yields I'm not gonna read through all the agriculture prices, but a lot of agriculture prices were up, which I expect to continue So that all you know Like I said yesterday all that stuff's gonna pressure yields like buybacks cannot defeat the inflation from a war and from El Nino this there's not going to You actually have Brent oil now at 93 50 so pretty decent move back higher now in oil. Now to put in a higher high that matters, you have to get back above like 102 essentially for Brent, for WTI, which I'm using, you know, citing, it takes almost 94 to where you're like, oh, wow, higher high. This is a little scary. Now break a downtrend line the whole nine yards. The December contract's at 82.45. It is not too far at all from a literal new high for the move, which is notable. That roll yield just kind of continues to accrue If you go back to early July, late June, you could have bought the December contract at 67 an ounce at 82. That was just such an absurd price to go back to the 60s. That was a gift. Those are the kinds of gifts that just don't happen that often. It doesn't mean what keeps going on from here or anything like that. But

buying it in the 60s and taking it back to the 80s or 90s, that was a gift, given the backdrop.

Gasoline up another one and a half percent. I think I saw gasoline in the US is over 410 or over 420 now here which one was Metals so despite the fact that bond yields came back gold still finished up 0.74 silver up 3.6% gold miners up 2.6% platinum plating green again, so Interesting to see the give back and bonds But then all these liquidity adjacent assets and commodities were like yeah, then everything to do with us or so going higher doesn't mean they won't pull back but For now, it's interesting to see that. Despite all this, we all only have 1%. We have options expiration tomorrow, so resetting the deck there could make equity markets a little more volatile, very literally. I could see VIX becoming a really interesting hedge all of a sudden, very, very quickly. In AI land, mix back. You're flat on semiconductors.

You're down on some of the adjacent stuff like Bloom Energy, but you're up 4.4% on DRAM. So, like I say, mixed bags. As far as single name stuff, I try to remember if there was something I wanted to touch on. RIG, which is a favorite of mine, TransOcean, which has been, man, if you go back, started drawing down in kind of mid to late May, was very frustrating for me for a while. But all of a sudden we are, you know, we got under five bucks. Now you're back to six. So it's starting to, starting to perk back up. I don't know if it'll last, but nice to see here near term. You had Alibaba up 1% on the day, which is not a big deal, but it had a giant outside candle that swallowed up like five days worth of action. Their earnings are getting bad because they're doing a bunch of capex. That's worth noting, but they're kind of AI cloud revenues, you know, growing like 40% all of a sudden. So like it makes bag, but a lot of promising stuff in my opinion, still coming out of Alibaba.

Some give back today in biotech because biotech had such an absurdly good day yesterday not surprising to give that have that give back today same for You know so many other stuff around the space like healthcare equipment a lot of that stuff But one of my favorites cure the Chinese healthcare ETF up another 2% that continues to be really strong despite Chinese equities not at all being strong that That's somewhat notable to me.

Honestly, at this point, I feel like that actually probably deserves itself a little pullback because it's had a really nice run. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. That's different pricing stuff. I will talk about a few things I want to talk about today. So the buyback already kind of talked about it, but It unwound itself in entirety. We even had an intraday job on to try and save it didn't work. You're right back to where you started a couple days ago So if oil and ag prices and you know inflationary pressures broadly speaking pick up again tomorrow So we yields unless they have a new intervention, you know ready to go. I'll leave that at that And I'll be honest like I thought of them I thought I thought we might be able to get a week or two out of this thing not, you know, 12 hours or whatever I think kind of the big news from Iran war has been This is a significant pivot in the US from going kinetic to economic warfare I'm very skeptical of this which probably won't surprise you and the reason that skeptical of it First of all Iran can fight back. Let's not forget that but second of all we have had significant sanctions on Iran my whole life basically And those have just gotten more significant in the last year, last two years, last six months. So the thought that there's like, you know, a bunch of ripe unpicked fruit just ready for us to grab, that's gonna be like the death nail for the regime seems completely absurd. And to be clear, they are literally linking this to the regime change that it's gonna work. It's gonna bring down the regime. I think the only way that would work is if you truly can isolate them, like nobody can trade with them whatsoever, a true siege.

What do that require they requires the entire Gulf to no longer have any relationship with them financially economically I'm gonna just say that's not gonna happen. All you know, they have a lot of neighbors they border with and they've been trading with these people for thousands of years Some of these are family relationships tribal relationships They go back You know hundreds or thousands of years like the thought that you're gonna kill all trade with them. No the other big thing obviously is like Who's their big, big, big trade partner they buy things from? It's China. Are we going to secondary sanction China? Are we going to go at China in a meaningful

way over Iran? I'll just tell you now, we are not because China can hit back and China can hit back with force. China's got hands when it comes to trade wars, as we already learned last year. I don't think we need to relearn that lesson. Could Xi throw Trump a bone if he gets something significant in return by you know, doing some window dressing on some stuff to make it look like they're helping. Yeah, I'm open to that. But don't forget the thing they're going to get in return, which is probably going to be significant, right? And they're not going to do anything meaningful because this is strategically great for China to have us, you know, bogged down in the Middle East yet again, spending, you know, hundreds of billions of dollars losing military equipment, drawing down our interceptor magazine.

Tiring out our naval assets and our you know and our people I think it's all good for them not because they're planning to do something It's not about like oh, they're gonna take time on now like that gets too much too much air time, but regardless if your significant peer enemy degrades themselves that is a strategic win I don't the financial part of it's a strategic win like like we're talking about we're having to Jump in and do stuff to try and keep our bond yields down They're jumping into trying to get theirs up like that could we couldn't be in a more different place there So you see the economic consequences of this that's great for China that the trade stuff like I'll mention what happened with Switzerland today kind of notable but these high energy prices Let them do massive exports, you know, we export petroleum they export, you know electricity and electricity producing and using goods so EVs, electric trucks, electric ships, drones, all these kinds of electric stack things. That's what they air conditioners master for them, all these kinds of things now. Obviously, solar panels at scale. All that stuff is in higher demand when you have this petroleum price increase. There's a lot of ways this is good for them. It doesn't mean they want less access to Gulf oil, and definitely because they don't.

They'll figure out how to get enough oil and they have obviously insane amount stored up that buys them enough time. And if you think we can outlast that time, I don't think you're really paying attention and they're doing the math personally. But so the notion that this economic war is going to be successful, in my opinion, no. And the other part of this is the kinetic part. Iran doesn't just have to sit back and lose an economic war. They can

fight back in an economic war. They can take drones and missiles and they can hit Energy infrastructures I've talked about a million times, but it's not just that they can hit data centers They can hit banks. They can take out underwater You know cables for See undersea cables for you know internet data and stuff like there's a lot of ways they can reach out and touch not just the Gulf Financially economically, but us it's also worth mentioning like we get a lot of financing from the Gulf in the US We need their money So the more money that the Gulf has to spend on rebuilding things or whatever like the less they can give us for building, you know, for our reshoring, which is all significant. And the less safe, you know, the Gulf feels with US protection umbrella, the more they may want to buy, you know, defense equipment and intelligence and training and stuff from the Chinese military, like, and their, you know, their providers, especially given the how long the backlog takes to clear for US arms versus Chinese arms and not just Chinese arms, but European Turkish, you know Korean you name it, right? So awesome the thing about so am I buying this this like we thought up this grand new strategy that you know We didn't think of before launching the war. We didn't think of in the last six months But now we got it. Here's like the magic pill that's gonna I'm not buying it. Um, another thing I'll talk about Walmart Walmart earnings sucked. They're slowing down Stock got hit today Real incomes in the US are falling. Why because there's a bunch of inflation wages aren't keeping up with inflation Naturally people have less money to spend so they're spending less money so people like Walmart are gonna have some problems doesn't mean you know every retailer is gonna have you know big problems and mis-earnings and stuff But some are because aggregate spending is gonna probably be weak for no other reason that people literally have less money to spend because Inflation's eating it up. That should really surprise no one But that you know, it's obviously a macro signal when Walmart has sales problems. I'll leave that there. Anthropic now expected to maybe be to raise even more money, have a bigger IPO than SpaceX, which was by far the biggest IPO in history. I've been talking about a bunch. I'll just put another pen in it. So we have too much supply of equity this year. There's not enough buybacks because of what's going on with Mag7 cash flow. And there's too much equity issuance from people that are already public, and especially these IPOs.

tens of billions, hundreds of billions of dollars worth of IPOs sucks up money that is there to play with everything. There's less toys for everybody to play with. So I think it's going to be problematic for the market this fall. I think especially in combination with what I expect to be more Mag7 equity issuance and debt issuance. And again, you got the US and the Mag7 competing in duration to raise money. And I don't know where it comes from other than QE, honestly. And it's another reason I think QE is going to happen because it not only does it help the government, but it helps meta and all these folks try to go build the digital sky daddy at a reasonable cost. So is it going to happen? Of course it's going to happen. Go back to the inauguration, who is sitting in the front row, all the CEOs of these companies doing the AI stuff, right? So they're probably going to get their QE. We're just going to call it something else. And last thing I mentioned a little bit ago, the Chinese and the Swiss essentially updated a free trade agreement they already had. And this was really, really in the favor of Switzerland. The Chinese already more or less got to send everything to Switzerland without any sort of tariffs. It wasn't the case for Switzerland on the way back, but now it's like 99.8% of Swiss exports to China will now be tear-free, including all the stuff that matters like watches and like precision equipment and stuff that they specialize in.

This is notable to me because this was a big give by China and get really get anything back for that Which is weird because China normally gets every single pound of flesh available and every single negotiation They are sort of zero seven that way. They always talk win-win But you better believe their win is more important than your win. You know what I mean? So the fact that they did this tells me there could be could is very much emphasized here kind of a change in tone from From the way they are viewing the world like maybe they are putting a little bit more of a premium on soft power than just pure hard power and just You know being as mercantilist as possible getting you know every advantage they can commercially and maybe they look at it like hold on like if we Are good to Europe we do some giving there and get some favor You know while at the same time all these countries are negotiating with the US having having their own beefs with us on Yeah, trade geopolitics, you name it. Maybe this helps us in a more meta way over the medium long term, gain some favor, gain some soft power, get some favors that owed to you later, all these kinds

of things that come from these kind of soft power things that they have, in my opinion, very much overlooked.

Um, it could be notable now. This could be a one-off and they could be, you know, right back to putting the screws on, you know, the EU and they've got negotiations and not giving an inch and it's like, I would not be surprised by that. But at least it caught my attention because of that. Like it's just different than the way they usually operate. And it's at least worth noting and watching more carefully with the way they, you know, negotiate with the rest of the world, not just not just Europe, but like everybody, like the emerging world has a lot of beef with them because as people say, like they pull up the ladder after they get out and, um, You know They don't just move from like, you know t-shirts up the ladder to AI like they want to keep the t-shirts It's kind of been the thing and I think I think it's their strategic mistake on their part like they think they need to bring along The global south and and don't pick up the ladder like let the global south get on so in the lower rungs of the ladder So, you know, will this kind of attitude transfer to stuff like that or no, it'd be interesting to see I think demographics almost on their own required them to allow poor Southeast Asian and African economies to do more of that stuff in the future just because their workforce is going to get so much smaller and they're so good at automating and robotics and everything that they really need. The peasants make a t-shirt or whatever when you can let people in far worse off places take care of it, probably not.

All things I'm going to keep an eye on, but that's it for me today. We'll be back with more tomorrow for the Friday show. Zach May joined tomorrow. He wanted to join today, but scheduling was not going to work for me, him and the producer, and we couldn't make it work. So hopefully it may be back tomorrow. But either way, I'll be here tomorrow. Don't forget, you can download and subscribe at knowyouristpodcast.com, check us out on YouTube, tell your friends, cheers. Investment advice cannot be given without a client service agreement. Zac Abraham is an investment advisor representative of Trek Financial and SEC Registered Investment Advisor. Bollard Capital Management is a marketing name only and does not carry a separate registration.